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[TENTATIVE] ORDER SUSTAINING IN PART AND OVERRULING IN PART RECONSTRUCTION HOLDINGS, INC.'S DEMURRER TO THE FOURTH AMENDED CROSS COMPLAINT

I. INTRODUCTION

This action commenced on March 23, 2023, and concerns a reconstruction project at The Excelsior at the Americana at Brand and disputes arising from Reconstruction Experts, Inc.'s performance of pre-construction and reconstruction work for the project.

On August 13, 2026, Excelsior filed the operative Fourth Amended Cross-Complaint ("4ACC"), alleging causes of action for: (1) breach of contract – pre-construction contract; (2) negligence – pre-construction contract; (3) fraud; (4) negligent misrepresentation; (5) breach of contract – reconstruction contract; (6) negligence; (7) accounting; (8) tortious breach of contract; (9) violation of Business and Professions Code section 17200; (10) violation of Penal Code section 496; (11) breach of contract – construction management; (12) violation of Business and Professions Code section 7031; (13) negligence; (14) bond claim; and (15) violation of the Uniform Voidable Transactions Act, Civil Code section 3439 et seq.

On August 20, 2026, Cross-Defendant Reconstruction Holdings, Inc. ("Reconstruction Holdings") filed the instant demurrer to the 4ACC. On September 3, 2026, Excelsior filed an opposition. On September 11, 2026, Reconstruction Holdings filed a reply.

Meet and confer

Pursuant to Code of Civil Procedure section 430.41, subdivision (a), the demurring party is required to meet and confer with the party who filed the pleading at least five days before the responsive pleading is due. This must occur in person, telephone or by video conference with the aim of resolving any objections raised in the demurrer. Additionally, the demurring party must file and serve a declaration detailing the meet and confer efforts. It should be noted, however, that the failure to meet and confer is not itself grounds for sustaining or overruling a demurrer or granting or denying a motion to strike. (Code Civ. Proc., §§ 430.41, subd. (a)(4), 435.5, subd. (a)(4).)

Reconstruction Holdings' counsel declares that on August 19, 2026, the parties participated in a Microsoft Teams conference but were unable to resolve the issues raised in the demurrer. (Spencer Decl., ¶¶ 5–6.)

The Court finds the meet and confer requirement satisfied.

II. LEGAL STANDARD

"[A] demurrer tests the legal sufficiency of the allegations in a complaint." (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) A demurrer can be used only to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. (See Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994 [in ruling on a demurrer, a court may not consider declarations, matters not subject to judicial notice, or documents not accepted for the truth of their contents].) For purposes of ruling on a demurrer, all facts pleaded in a complaint are assumed to be true, but the reviewing court does not assume the truth of conclusions of law. (Aubry v. Tri-City Hosp. Dist. (1992) 2 Cal.4th 962, 967.)

CCP section 430.10(f) provides that a pleading is uncertain if it is ambiguous and unintelligible. (See Code Civ. Proc., § 430.10(f).) "A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures." (Khoury v. Maly's of California, Inc. (1993) 14 Cal.App.4th 612, 616.) "A demurrer for uncertainty will be sustained only where the complaint is so bad that defendant cannot reasonably respond—i.e., he or she cannot reasonably determine what issues must be admitted or denied, or what counts or claims are directed against him or her." (Weil & Brown, Civil Procedure Before Trial (The Rutter Group) § 7:85 (emphasis in original).) "The objection of uncertainty does not go to the failure to allege sufficient facts." (Brea v. McGlashan (1934) 3 Cal.App.2d 454, 459.) "It goes to the doubt as to what the pleader means by the facts alleged." (Id.) "Such a demurrer should not be sustained where the allegations of the complaint are sufficiently clear to apprise the defendant of the issues which he is to meet." (People v. Lim (1941) 18 Cal.2d 872, 882.)

Leave to amend must be allowed where there is a reasonable possibility of successful amendment. (See Goodman v. Kennedy (1976) 18 Cal.3d 335, 349 [court shall not "sustain a demurrer without leave to amend if there is any reasonable possibility that the defect can be cured by amendment"]; Kong v. City of Hawaiian Gardens Redevelopment Agency (2002) 108 Cal.App.4th 1028, 1037 ["A demurrer should not be sustained without leave to amend if the complaint, liberally construed, can state a cause of action under any theory or if there is a reasonable possibility the defect can be cured by amendment."]; Vaccaro v. Kaiman (1998) 63 Cal.App.4th 761, 768 ["When the defect which justifies striking a complaint is capable of cure, the court should allow leave to amend."].) The burden is on the complainant to show the Court that a pleading can be amended successfully. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.)

III. ANALYSIS

Alter ego

"Under the alter ego doctrine, . . . when the corporate form is used to . . . accomplish some [] wrongful or inequitable purpose, the courts will ignore the corporate entity and deem the corporation's acts to be those of the persons or organizations actually controlling the corporation, in most instances the equitable owners." (Id.)

In California, two conditions must be met before the alter ego doctrine will be invoked. First, there must be such a unity of interest and ownership between the corporation and its equitable owner that the separate personalities of the corporation and the shareholder do not in reality exist. Second, there must be an inequitable result if the acts in question are treated as those of the corporation alone. [Citations.] "Among the factors to be considered in applying the doctrine are commingling of funds and other assets of the two entities, the holding out by one entity that it is liable for the debts of the other, identical equitable ownership in the two entities, use of the same offices and employees, and use of one as a mere shell or conduit for the affairs of the other [Citations.]" Other factors which have been described in the case law include inadequate capitalization, disregard of corporate formalities, lack of segregation of corporate records, and identical directors and officers. [Citations.] No one characteristic governs, but the courts must look at all the circumstances to determine whether the doctrine should be applied. [Citations.] Alter ego is an extreme remedy, sparingly used. [Citations.]

(Id. at 538-539.)

To invoke the alter ego doctrine, the plaintiff must plead unity of interest and ownership and that an inequity will result if the corporate entity is treated as the sole actor. (See *Vasey v. California Dance Co.* (1977) 70 Cal.App.3d 742, 749.) Factors to consider in applying the doctrine include the commingling of funds and other assets, the holding out by one entity that it is liable for the debts of the other, identical equitable ownership in the two entities, inadequate capitalization, and disregard of corporate formalities. (*Sonora Diamond Corp. v Superior Court* (2000) 83 Cal.App.4th 523, 538-39.)

Courts liberally apply the alter ego doctrine when the equities and justice of the situation call for it rather than restricting it to technical requirements of pleading and procedure. (*First Western Bank & Trust Co. v. Bookasta* (1968) 267 Cal.App.2d 910, 915.) It is essential principally that a showing be made that there is a unity of interest and that permitting the fiction of corporate separate existence is unjust. (*Id.*)

Reconstruction Holdings argues that Excelsior fails to sufficiently allege alter ego liability because the 4ACC does not allege facts demonstrating either a unity of interest between Reconstruction Holdings and Reconstruction Experts ("RE") or that an inequitable result would follow from respecting their separate corporate identities. (Demurrer, pp. 13-15.) Reconstruction Holdings contends that the allegations concerning common ownership, shared management and intercompany financial relationships are insufficient to establish alter ego liability. Reconstruction Holdings further argues that no inequitable result is alleged because RE's obligations under the construction contract are secured by a \$15.2 million performance bond. (*Id.* at p. 15.)

In opposition, Excelsior argues that the 4ACC alleges substantially more than common ownership or ordinary corporate oversight. Specifically, Excelsior alleges that the Johns Lyng Group Limited dominates and controls RE's strategy, finances, executive personnel, and operations through affiliated entities that also own a majority interest in Reconstruction Holdings and control its board. Excelsior further alleges that a Shareholders Deed required Johns Lyng USA to maintain 51 percent ownership of Reconstruction Holdings for purposes of board control, established a "Loan Account Balance" mechanism through which millions of dollars could be transferred among affiliated entities, and restricted non-Johns Lyng shareholders from competing with the corporate group. (4ACC, ¶¶ 47, 50.)

Excelsior also alleges circumstances supporting an inequitable result. According to the 4ACC, Reconstruction Holdings' shares were cancelled and converted into membership interests in another John Lyng entity without reasonably equivalent value being provided to Reconstruction Holdings, RE, or their creditors. Excelsior also alleges that shortly thereafter RE's California business was transferred to a newly formed entity and subsequent changes were made to the corporate structure while Excelsior's claims remained pending. (Opposition, p. 6; 4ACC, ¶¶ 49, 50 1212 and 1213)

At this pleading stage, the Court finds these allegations sufficient. The 4ACC alleges additional facts concerning contractual control over Reconstruction Holdings' board and finances, intercompany transfers and restructuring allegedly undertaken while Excelsior's claims were outstanding. These allegations taken with the allegations regarding common ownership, overlapping management and parental oversight establish a unity of interest such that the separate corporate identities may not in reality exist.

Moreover, whether the alleged restructuring and transfers were legitimate corporate transactions or were undertaken to place assets beyond Excelsior's reach presents a factual issue not appropriately resolved on demurrer.

Thus, the Court **OVERRULES** the demurrer as to alter ego.

Third, Fourth and Sixth Causes of action: fraud, negligent misrepresentation and negligence

Reconstruction Holdings argues that these causes of action fail because Reconstruction Holdings did not owe a legal duty to Excelsior, and because it does not plead direct conduct by Reconstruction Holdings. (Demurrer, pp. 10-11.)

Excelsior opposes, arguing that it does not seek to hold Reconstruction Holdings liable based on its own conduct, but rather based on its alleged status as RE's alter ego. Relying on *Hennessey's Tavern, Inc. v. American Air Filter Co.* (1988) 204 Cal.App.3d 1351, Excelsior argues that alter ego liability does not require the alter ego to have separately committed the underlying wrong. Excelsior further notes that the sufficiency of the third, fourth, and sixth causes of action as alleged against RE is not challenged by this demurrer. Thus, Excelsior contends the relevant question is whether Reconstruction Holdings may be held liable for RE's conduct under an alter ego theory. (Opposition, p. 8.)

Here, as discussed above, the Court finds that Excelsior has alleged that Reconstruction Holdings may be held liable as RE's alter ego. Thus, Excelsior need not separately allege that Reconstruction Holdings committed the underlying conduct attributed to RE. The Court therefore **OVERRULES** the demurrer as to the third, fourth and sixth causes of action.

Fifteenth cause of action: violation of uniform voidable transactions act

Reconstruction Holdings argues that this cause of action fails because it rests on an internal equity conversion, not a transfer of reachable debtor assets. (Demurrer, pp. 16-17.)

In opposition, Excelsior argues that the 4ACC expressly alleges Reconstruction Holdings itself is a "debtor" and that Reconstruction Holdings transferred its own assets when its shares were cancelled and converted into membership interests in Johns Lyng Intermediary Holdings, LLC. Excelsior further argues that equity interests constitute "property" within the meaning of the UVTA. (Opposition, pp. 9-11.)

"A fraudulent conveyance claim is set forth in the Uniform Fraudulent Transfer Act (UFTA), which is codified in Civil Code section 3439 et seq. 'A fraudulent conveyance is a transfer by the debtor of property to a third person undertaken with the intent to prevent a creditor from reaching that interest to satisfy its claim.' [Citation] A transfer under the UFTA is defined as 'every mode, direct or indirect, absolute or conditional, voluntary or involuntary, of disposing of or parting with an asset..., and includes payment of money, release, lease, and creation of a lien or other encumbrance.' [Citation] 'A transfer of assets made by a debtor is fraudulent as to a creditor, whether the creditor's claim arose before or after the transfer, if the debtor made the transfer (1) with an actual intent to hinder, delay or defraud any creditor [actual fraudulent transfer], or (2) without receiving reasonably equivalent value in return [constructive fraudulent transfer], and either (a) was engaged in or about to engage in a business or transaction for which the debtor's assets were unreasonably small, or (b) intended to, or reasonably believed, or reasonably should have believed, that he or she would incur debts beyond his or her ability to pay as they became due. [Citations.]' [Citations]" (*Kirkeby v. Superior Court* (2004) 33 Cal.4th 642, 648.) (See also Civil Code §§3439.01, 3439.04, 3439.05.) A cause of action for constructive fraudulent transfer under Civil Code §3439.05 seeks to set aside a transfer during or resulting in insolvency.

Here, the Court finds the allegations insufficient to state a claim under the UVTA against Reconstruction Holdings. This cause of action is pled in the alternative to the alter ego allegations and alleges that Excelsior is a creditor of RE and, alternatively through alter ego, of Reconstruction Holdings within the meaning of Civil Code section 3439.01. (4ACC, ¶ 1211.)

The 4ACC further alleges that Reconstruction Holdings' shares were cancelled and converted into membership interests in Johns Lyng Intermediary Holdings, LLC. (4ACC, ¶ 1212.) However, even assuming Reconstruction Holdings is sufficiently alleged to be a debtor, the 4ACC does not allege facts establishing that the shares at issue constituted property owned by Reconstruction Holdings. Rather, as alleged, the transaction concerns the conversion of equity interests in Reconstruction Holdings. The 4ACC does not otherwise identify an asset belonging to Reconstruction Holdings that Reconstruction Holdings disposed of or parted with.

Because a claim under the UVTA requires a transfer by the debtor of property or an asset belonging to the debtor, the allegations are insufficient to state a claim against Reconstruction Holdings. (*Kirkeby v. Superior Court* (2004) 33 Cal.4th 642, 648.)

Thus, the Court **SUSTAINS** the demurrer as to this cause of action with 20 days' leave to amend.

IV. ORDER

The Court OVERRULES the demurrer as to alter ego, third, fourth and sixth causes of action, and SUSTAINS with 20 days' leave to amend as to the fifteenth cause of action.

Reconstruction Holdings is to give notice.

Dated: September 18, 2026

JARED D. MOSES

JUDGE OF THE SUPERIOR COURT